

See Line 11 below.

3. 8:31 AM CASE NUMBER: C25-00957
CASE NAME: EAST BAY MUNICIPAL UTILITY DISTRICT VS. MATT KAUFFMAN
*FURTHER CASE MANAGEMENT CONFERENCE
FILED BY:
TENTATIVE RULING:

The CMC is **continued** to June 18, 2026 at 9:00 a.m.

Law & Motion

4. 9:00 AM CASE NUMBER: C23-00688
CASE NAME: BROUWER VS. REDWOOD HOLDINGS, LLC
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: REDWOOD HOLDINGS, LLC
TENTATIVE RULING:

Before the Court is a demurrer to plaintiff Helen Brouwer's First Amended Complaint (FAC), filed by defendant Redwood Holdings, LLC. The demurrer is **sustained without leave to amend**.

I. Background

According to the FAC, plaintiff was foreclosed upon by her lenders, Gregory Funding LLC and Gregory Funding Inc., and the property was sold to defendant at a non-judicial foreclosure sale on September 30, 2020. (FAC, ¶¶6-10.) The foreclosure sale took place during a State of Emergency in California due to the COVID-19 pandemic and "a period of legal uncertainty regarding the validity of foreclosure sales." (FAC, ¶¶12, 34.) Gregory Funding's license to conduct loan servicing activities had been restricted or revoked by the California Department of Real Estate, and defendant knew or should have known of these licensing issues. (FAC, ¶135.)

Defendant evicted plaintiff in January of 2021. (FAC, ¶¶42-43.) It then sold the property through a real estate broker for \$1,150,000, realizing a profit of at least \$430,000. (FAC, ¶¶36-39.) The sale price of \$1,150,000 was still substantially below the true fair market value, which remained approximately \$1,700,000 to \$2,175,000, suggesting the property was not properly marketed to maximize its value. (FAC, ¶¶40-41.) Plaintiff was over 80 when evicted by defendant. (FAC, ¶44.)

The FAC alleges that defendant, as a professional foreclosure purchaser regularly engaged in the business of purchasing foreclosed properties, owed plaintiff a duty of reasonable care to (1) conduct due diligence to ensure the foreclosure sale complied California law; (2) refrain from purchasing property at a foreclosure sale that lacked competitive bidding due to reasonably foreseeable circumstances that would deter prospective bidders; (3) refrain from purchasing property at a foreclosure sale conducted in violation of applicable COVID-19 emergency orders and statutory protections; (4) refrain from purchasing property at a foreclosure sale where the circumstances

indicated that the property would sell for substantially below fair market value due to lack of competitive bidding; (5) refrain from evicting an elderly homeowner from property purchased at a defective foreclosure sale. (FAC, ¶150.) Defendant breached these alleged duties of care. (FAC, ¶151.)

Plaintiff's FAC sets forth three causes of action: (1) Wrongful Foreclosure (Negligence); (2) Unjust Enrichment; and (3) Negligent Interference With Prospective Economic Advantage. The FAC seeks damages for lost equity of at least \$430,000, attorney's fees and costs (exceeding \$100,000) incurred in attempting to remedy the wrongful foreclosure, restitution, emotional distress, health problems and medical expenses, and costs of alternative housing.

Plaintiff originally filed this action on March 28, 2023. A demurrer to plaintiff's original complaint was sustained in July of 2023, with leave to amend. When plaintiff failed to amend within the time allowed by the Court, defendant moved to dismiss. On October 13, 2025, prior to any hearing on the motion to dismiss, plaintiff filed the FAC. Plaintiff's FAC claims, in essence, that defendant was negligent based on its purchase of the property despite "irregularities" about which it should have known. Specifically, prospective bidders were deterred from bidding at the foreclosure sale due to the generally-held belief that foreclosure sales were stayed because of the COVID-19 pandemic, resulting in the sale price being substantially below fair market value. (FAC, ¶¶10-11, 24-27, 30-31.)

On December 4, 2025, Judge Weil denied the motion, noting that the plaintiff had filed a notice of appeal (presumably this was in reference to the appeal in plaintiff's case against Gregory Funding, Inc. and Gregory Funding, LLC, Contra Costa Superior Court Case No. MSC21-00144), which had effectively stayed the case, and nothing much of substance had been done during the two years since a demurrer to the original complaint was sustained. Judge Weil allowed defendant 30 days to file a pleading in response to the FAC.

The present general demurrer was filed less than two weeks later on December 15, 2025 following efforts to meet and confer (see Declaration of Brandon Trout). Aside from arguing the allegations are inadequate, defendant asserts that issue preclusion based on plaintiff's appeal bars her claims here. In support of the demurrer, defendant submits a request for judicial notice of various recorded documents and the First District's opinion in *Brouwer v. Gregory Funding, Inc.*, A168356, plaintiff's case against the lender and loan servicer responsible for the foreclosure sale. The request is unopposed and is **granted**.

Plaintiff has filed an opposition to the motion, arguing the FAC meets the necessary pleadings requirements.

II. Legal Standard

A court assessing a demurrer accepts as true the facts pleaded in the complaint, but rejects contentions, deductions and conclusions of fact or law. (*Blank v. Kirwan* (1985) 39 Cal.3d 311, 318; *Aubry v. Tri-City Hospital Dist.* (1992) 2 Cal.4th 962, 966–967.) The Court gives the complaint a reasonable interpretation, reading it as a whole and its parts in their context. (*Blank, supra*, 39 Cal.3d 311, 318.) "If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer." (*Quelimane Co. v. Stewart Title Guaranty Co.* (1998) 19 Cal.4th 26, 38.) In ruling on a demurrer, the court considers the face of the pleading attacked and matters subject to judicial notice. (Code Civ.

Proc. § 430.30(a).)

III. Discussion

A. Wrongful Foreclosure / Negligence (First C/A)

Defendant contends no negligence cause of action is alleged because it is a Bona Fide Purchaser (BFP) and finding a duty to a foreclosed borrower would undermine all foreclosure sales.

To be a bona fide purchaser, defendant must have made a payment of value, in good faith, and without actual or constructive notice of plaintiff's rights. (*Gates Rubber Co. v. Ulman* (1989) 214 Cal.App.3d 356, 364.) Here, plaintiff expressly alleges that defendant had actual or constructive knowledge of material irregularities in the foreclosure sale so *if* there were such material irregularities, this could negate the claimed BFP status.

Nonjudicial foreclosures are presumed to have been conducted regularly and properly, and thus, the party challenging the sale has the burden of affirmatively pleading and proving an improper procedure. (*Ram v. OneWest Bank, FSB* (2015) 234 Cal.App.4th 1, 14.) Further, allegations in a challenged pleading must be regarded as true unless they state legal conclusions. Allegations of defendant's "actual or constructive knowledge" of "material irregularities" in the foreclosure sale, are conclusory. In the original complaint, plaintiff alleged a "symbiotic relationship" between the lender and defendant. The allegations were determined to be legal conclusions and not sufficient to allege a cause of action against defendant here. This version of the complaint does not substantively alter, or add to, those allegations.

Plaintiff cites a statutory requirement that the sale be "conducted in a manner that is fair and that obtains fair market value," but the provision cited (Civ. Code, § 2924f) does not apply. The statute imposes a duty on the *mortgagee* and on the *trustee* under certain conditions. The mortgagee must provide to the trustee a fair market value of the property at least 10 days prior to the initially scheduled date of sale, and the trustee "shall not sell the property at the first sale at which a bid can be made for less than 67 percent of that fair market value of the property." (Civ. Code, § 2924f, subd. (f)(1).)

Neither the mortgagee nor the trustee is a party here. Additionally, the statute provides that a failure to comply with these provisions "shall not affect the validity of a trustee's sale or a sale to a bona fide purchaser for value." (Civ. Code, § 2924f, subd. (f)(4).)

This Court is not in the position to retroactively declare invalid any nonjudicial foreclosure sales that lacked multiple bids, even if that lack was due to COVID-19 or public beliefs at the time. Such action was for the Legislature to address. In fact, the Legislature *did* implement measures to ensure competitive bidding in residential foreclosures, but the implementation came after the foreclosure sale here. (*Bird Rock Home Mortgage, LLC v. Breaking Ground, LP* (2025) 114 Cal.App.5th 492, 500-501 [Section 2924m added effective January 1, 2021].)

With respect to the arguments that Gregory Funding's license had been revoked or restricted (FAC, ¶135), or that defendant had a business relationship with the foreclosing entity, giving it advance information (FAC, ¶133), these are insufficient to invalidate the sale and the FAC does not state a cause of action.

As to defendant's assertion that issue preclusion bars the negligence cause of action against

it, the judgment and appeal in plaintiff's case against her lender and servicer does appear to apply to the issue of whether an unlicensed entity was responsible for the foreclosure sale. On this point, the appellate court stated:

Brouwer asserts that "[a] court cannot permit a foreclosure sale conducted by an entity that has had its broker's license revoked, regardless of whether harm or prejudice was pleaded in the complaint, due to the inherent unlawfulness of the act of foreclosure." Brouwer has not cited any authority in support of her argument. Nor have we found any authority for the proposition that the prejudice requirement is necessarily satisfied by an allegation that the loan servicer was unlicensed."

[...]

As to the sufficiency of the allegations of the complaint to show prejudice, we note that Brouwer has not alleged any facts demonstrating that she was prejudiced by Gregory Funding's alleged lack of license.

Plaintiff does not address issue preclusion in the opposition whatsoever, though the Court has some question as to whether the question of "advance information" is entirely resolved by the appellate court's opinion. (See RJN, Ex. 7, fn. 5 [expressly not reaching all the contentions raised by plaintiff on appeal].)

"The purchaser at a foreclosure sale takes title by a trustee's deed. If the trustee's deed recites that all statutory notice requirements and procedures required by law for the conduct of the foreclosure have been satisfied, a rebuttable presumption arises that the sale has been conducted regularly and properly; this presumption is conclusive as to a bona fide purchaser. [Citation.]" (*Moeller v. Lien* (1994) 25 Cal.App.4th 822, 830, citing *Homestead Savings v. Darmiento* (1991) 230 Cal.App.3d 424, 431.)

Plaintiff has provided no authority or unique facts to support a negligence cause of action against the purchaser of the foreclosed property here.

The demurrer to this cause of action is sustained.

B. Unjust Enrichment (Second C/A)

Defendant argues that the unjust enrichment cause of action fails because it is (1) not a cause of action and (2) derivative of the negligence cause of action. Plaintiff responds that she has alleged defendant gained a windfall due to a defective foreclosure sale. While plaintiff's reasoning would have some merit if the facts pleaded showed a wrongful foreclosure, they do not, as discussed above.

The demurrer to this cause of action is sustained.

C. Negligent Interference With Prospective Economic Advantage (Third C/A)

Defendant argues that plaintiff's third cause of action fails because she fails to allege an economic relationship between herself "and a third party."

"The tort of negligent interference with prospective economic advantage is established where a plaintiff demonstrates that (1) an economic relationship existed between the plaintiff and a third party which contained a reasonably probable future economic benefit or advantage to plaintiff; (2) the defendant knew of the existence of the relationship and was aware or should have been aware

that if it did not act with due care its actions would interfere with this relationship and cause plaintiff to lose in whole or in part the probable future economic benefit or advantage of the relationship; (3) the defendant was negligent; and (4) such negligence caused damage to plaintiff in that the relationship was actually interfered with or disrupted and plaintiff lost in whole or in part the economic benefits or advantage reasonably expected from the relationship.” (*Venhaus v. Shultz* (2007) 155 Cal.App.4th 1072, 1078.)

Plaintiff opposes the demurrer on the basis that she pleaded “an economic relationship with potential purchasers of the Subject Property and a reasonable probability of future economic benefit from selling it at fair market value (FAC 68-69).” (Opposition, 3:10-15.) This is insufficient to meet the second element of a “reasonable probability of an expectancy.” (*Youst v. Longo* (1987) 43 Cal.3d 64, 71-72.) “[T]he interference tort applies to interference with existing noncontractual relations which hold the promise of future economic advantage. In other words, it protects the expectation that the relationship eventually will yield the desired benefit, not necessarily the more speculative expectation that a potentially beneficial relationship will eventually arise.” (*Westside Center Associates v. Safeway Stores 23, Inc.* (1996) 42 Cal.App.4th 507, 524.) The existence of a future buyer at a better price if plaintiff had been permitted to sell her own home, is purely hypothetical.

Accordingly, the demurrer to this cause of action is sustained.

D. Leave to Amend

The Court cannot readily see how plaintiff could be able to amend to rescue any of these causes of action. If plaintiff contests this tentative ruling to seek leave to amend, she must be prepared at the hearing to discuss in detail what amendments she contemplates making, why they will suffice, and why they haven’t been adduced before now.

5. 9:00 AM CASE NUMBER: C23-03266
CASE NAME: LINETTE LUJAN VS. WINDSOR ROSEWOOD CARE CENTER, LLC,
***HEARING ON MOTION IN RE: SET ASIDE ENTRIES OF DEFAULT**
FILED BY: ROSEWOOD CARE CENTER, LLC,
TENTATIVE RULING:

This motion was **stipulated**.

6. 9:00 AM CASE NUMBER: C24-00481
CASE NAME: STEVE STROOT VS. NATHAN SIMARRO
HEARING ON SUMMARY MOTION ADJUDICATION
FILED BY: SIMARRO, NATHAN
TENTATIVE RULING:

On the Court’s own motion, the hearing on this matter is **continued** until June 25 so that the late-provided usable video exhibit can be examined.

7. 9:00 AM CASE NUMBER: C24-01854
CASE NAME: REGINALD CANNON VS. MELISSA KATZ